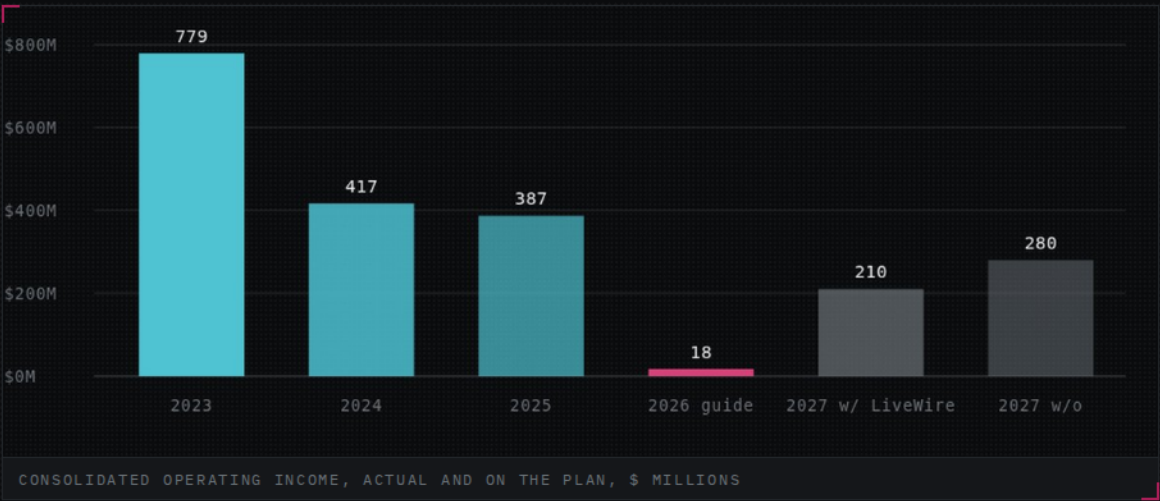


HARLEY-DAVIDSON: BACK TO THE BRICKS, DOWN TO BREAKEVEN · PART 4 OF 4

# THE BRICKS.

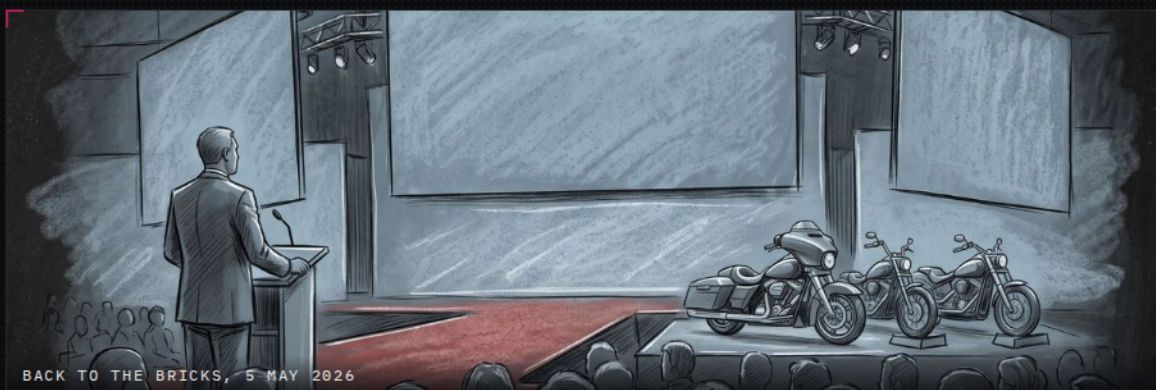
Five pillars, six targets, one dated number, and a 2027 that lands everything at once: the EBITDA target, the Sportster, and the LiveWire note.



PART 4 · THE BRICKS

HARLEY-DAVIDSON: BACK TO THE BRICKS, DOWN TO BREAK-EVEN • THE ROUTE

# THE PLAN, THE BET, THE FINAL WORD



## PART I

### THE ARITHMETIC

Add up the guidance: about zero. The subsidiary's loss exceeds the motor company's profit.

## PART II

### THE SALE

2025's profit was the finance company, sold. \$180M a year traded for \$1.25B once.

## PART III

### THE SUBSIDIARY

\$422M consolidated. A third of the profit drag from 0.6% of revenue. Cash to May 2027.

## PART IV

### THE PLAN

Five pillars, six targets. The 2027 number is a 5% margin, below 2019.

## PART V

### THE BET

\$1.6B of buybacks, and one motorcycle carrying the growth target: the 883.

## PART VI

### THE FINAL WORD

LiveWire didn't break Harley. It is what the new Harley can't afford.

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BACK TO THE BRICKS • 5 MAY 2026 • THE FIVE PILLARS, AS WRITTEN

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- 1** Deep appreciation of competitive advantages and legacy  
"ICONIC BRAND, DIVERSIFIED AND POWERFUL REVENUE CHANNELS, AND BEST-IN-CLASS DEALER NETWORK"
  - 2** Renewed commitment to the exclusive dealer network  
"ENABLE DEALERS TO DOUBLE PROFITABILITY IN 2026 AND THEN DOUBLE IT AGAIN BY 2029"
  - 3** Recapture share where H-D has "right to win"  
"NEW MOTORCYCLES, USED MOTORCYCLES, PARTS & ACCESSORIES, AND APPAREL & LICENSING"
  - 4** Strong financial position  
"A PATH TO STRONGER FREE CASH FLOW AND EBITDA MARGIN OVER TIME"
  - 5** Bolstered management team  
"A NUMBER OF LEADERSHIP APPOINTMENTS"
- 

The word "electric" does not appear. LiveWire is in the forward-looking factors only.

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## THE TARGETS, AGAINST THE RECORD

| TARGET        | STATED                | RECORD                                                             |
|---------------|-----------------------|--------------------------------------------------------------------|
| HDMC EBITDA   | >\$350M in 2027       | ≈ \$190M operating income, ~5% margin. 2019: \$290M. 2023: \$661M. |
| Retail growth | Mid-single-digit CAGR | ≈ 6,600 units/yr. 2019–25 CAGR: <b>-8%</b>                         |
| Gross margin  | 25–30%                | 2025: 24.2%. 2024: 28.0%.                                          |
| Opex          | <20% of sales         | 2025: 25.0%                                                        |
| EBITDA margin | 10–12%                | Hardwire promised 15% op margin by 2025. Got <b>(0.8%)</b> .       |
| Fixed cost    | –\$150M by 2027       | “Not including LiveWire.”                                          |

Not in it: a revenue figure, EPS, free cash flow, Sportster volume, a capital-return commitment, or any LiveWire target.

THE ONLY DATED NUMBER, TRANSLATED

# \$350M

HDMC EBITDA • 2027

# ≈ 5%

OPERATING MARGIN • DERIVED (D&A ~\$170M/YR FROM Q2 2026 ADJ.  
EBITDA LESS OPERATING INCOME)

HDMC ran a 6.3% margin in 2019, the year Hardwire was written to fix. **The new plan's target is below where the company stood before the old plan.**



## HARDWIRE, 2021-2025 • PROMISED VS DELIVERED

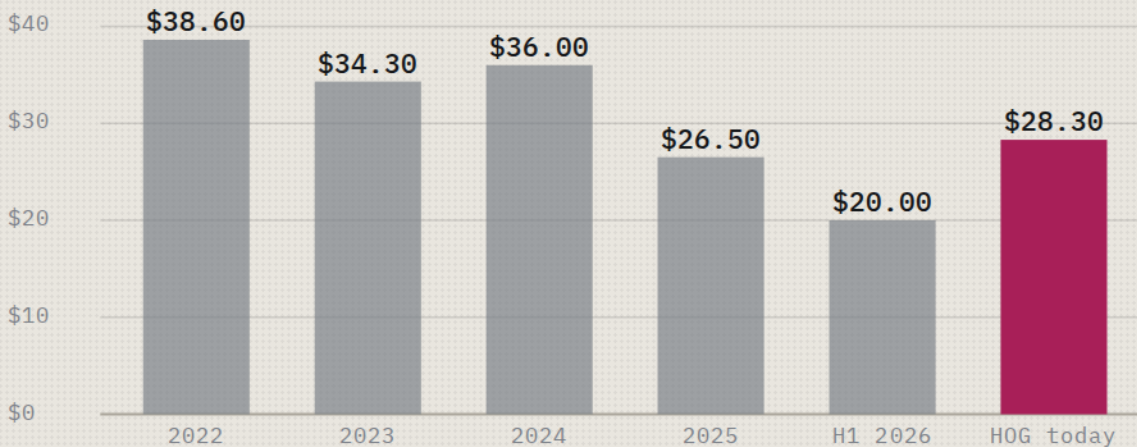
| COMMITMENT       | TARGET                         | FY2025                         |
|------------------|--------------------------------|--------------------------------|
| HDMC revenue     | +5-7% CAGR → ~\$5.5-5.9B       | <b>\$3,578M</b> • -21% vs 2021 |
| HDMC op margin   | 15% by 2025                    | <b>(0.8%)</b>                  |
| EPS              | Low-double-digit growth        | \$4.19 → \$2.78                |
| HDFS             | Double-digit growth            | \$490M via a one-time sale     |
| Cost             | \$400M productivity            | New plan needs \$150M more     |
| Lead in Electric | 100,000 LiveWires/yr from 2026 | <b>923. \$422M of losses.</b>  |

Every quantified target missed.  
Shareholders withheld over 48% from the CEO in May 2025; he and two directors were gone within a year.

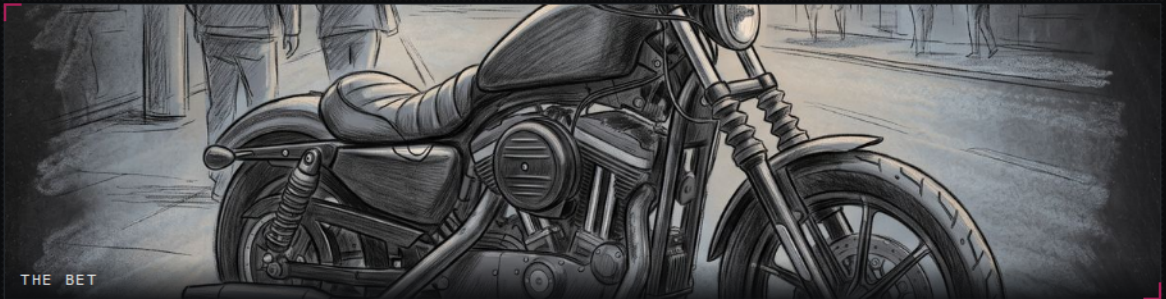


CAPITAL RETURNED • AVERAGE REPURCHASE PRICE BY YEAR VS THE SHARE PRICE, 4 SEP 2026

**\$1.63 BILLION OF  
BUYBACKS. 52.1M  
SHARES. \$31.30  
AVERAGE.**



Those shares are worth about \$1.47B at \$28.30. HOG was \$30.47 the day Zeitz took the job in February 2020. Market cap today: ~\$2.9B, with \$1.9B of cash on the balance sheet.



THE BET · WHAT THE GROWTH TARGET NEEDS VS WHAT THE SPORTSTER USED TO SELL · UNITS A YEAR

## ONE MOTORCYCLE CARRIES THE GROWTH TARGET.

Plan: +5% a year

6,600 · motorcycles

Sportster, low

35,000

Sportster, high

40,000

Starrs: the Sportster market "as recently as five, six years ago... was 35,000–40,000+ on a global basis." Recover a third of that and the 883 alone delivers two years of the plan's growth.

Raymond James, same call: "there's a reason why Sportster was discontinued, right? It was hard to make money." Starrs: the cost is now "extremely comfortable against the expected MSRP."



2027, IF EVERY TARGET LANDS ON TIME

PLAN DELIVERED

|                               |                                                      |
|-------------------------------|------------------------------------------------------|
| Worldwide retail              | ~143,000 · 66% of 2019                               |
| HDMC operating income         | ~\$190M · ~5% margin                                 |
| HDFS operating income         | ~\$80-100M · a third of 2024                         |
| LiveWire                      | Unaddressed · cash out mid-2027 · \$85M due December |
| Consolidated operating income | ~\$210M with LiveWire · ~\$280M without              |
| Dealers                       | ~1,150, twice as profitable as 2025                  |

A quarter of 2023's earnings. Two-thirds of 2019's motorcycles. Three-quarters of the dealers. **That is the plan, working.**

## THREE THINGS THAT ARE TRUE AT ONCE

- **LiveWire did not break Harley-Davidson.** A \$75M loss does not take a company from \$779M to zero. Touring, tariffs, a 12% retail decline and the HDFS sale did that. The electric bet is the flattering villain.
- **LiveWire is exactly what the new Harley cannot afford.** When the motor company is guided to make \$10–50M, a \$70–80M loss is the difference between a profit and a loss. The plan solves this by not counting it.
- **The decision has a date.** Cash to May 2027. Note due December 2027. EBITDA target: 2027. Nobody has said what the decision is.

# WHICH BRICK IS LIVEWIRE UNDER?

Back to the Bricks has five pillars, six targets and a two-year clock. It is scored on the motor company. Harley-Davidson, Inc. is not the motor company. It is HDMC, plus a finance company sold forward, minus a subsidiary guided to lose more than HDMC makes, with a note due in the plan's own target year.

Full brief: 16 sections in six parts, every source linked, open items and corrections published.

[contactpatchadvisory.com/groundtruth/02](https://contactpatchadvisory.com/groundtruth/02)